

aircraft at prices that are amongst the lowest in the world, which should stand them in good stead as competition intensifies. Since its inception, the airline has always focussed on connecting large-, mid-size- and small cities. “We are closely monitoring the current trends across air traffic, train passengers as well as the economic situation. Based on all these factors and various demand estimates, we are working on new routes and flights,” says Dutta.

With the lifting of curbs on international flights, IndiGo is looking at restarting operations on those routes. “We will take every opportunity we can to return to the previous 24 destinations we were operating before the pandemic, and expand our network to other destinations within the six-to-seven-hour range with our narrow-body aircraft,” Dutta adds.

Attributes like slots on all metro routes, a high aircraft-to-destination ratio, a steady schedule resulting in good on-time performance, massive profits from sale and leaseback, adept cost optimisation, and a strong ecosystem of travel and aviation services have all helped IndiGo consolidate its position in the market. “It is also very important for a market like ours to have stable players like IndiGo, an Indian operator that is sought out globally for transacting and leasing aircraft into India. There is no doubt that they have successfully managed a budget airline despite all the odds, and in doing so have also created a level playing field for all Indian operators,” says Neha Singh, Associate Partner at law firm Link Legal.

After posting losses for several straight quarters, the carrier reported a profit of ₹130 crore for October-December 2021. “As the market leader, IndiGo will need to protect and maintain market share and profitability amid new competition,” says a senior executive at an aviation advisory firm.

“Amongst the present airlines, IndiGo has enough cash balance—ap-

READY TO SOAR AGAIN

India's aviation sector is in comeback mode, with recovery in passenger traffic and the entry of new carriers

- 1 Domestic passenger traffic continued to recover with 7.7 million people travelling in February compared to 6.4 million in January, a rise of 20 per cent
- 2 Regional routes connecting Tier II and III cities are said to be the new engines of growth
- 3 But rising ATF prices continue to worry airline operators; ATF contributes up to 45 per cent of total operating costs
- 4 The high fuel costs and losses suffered since March 2020 may prevent airlines from offering deep discounts on fares
- 5 A strong framework is needed to prevent the rise of monopolies that may scuttle new companies from emerging

proximately ₹17,300 crore in December—to cover over 18 months of cash burn, much higher than less than six months for peers,” says Karan Khanna, Aviation Analyst at Ambit Capital. Thus, the airline could prioritise defending market share over profitability in the near to medium term.

AS THE initial euphoria following the successful return of Air India to the Tata group subsides, speculation has begun on how the \$103-billion salt-to-software conglomerate would turn around the national flag carrier. Experts say much will depend on the seamless integration of the group's existing carriers with the formerly government-owned airline. The Tata group's management control of Air India Ltd includes the FSC Air India, and its low-cost unit Air India Express. Other than Vistara, it operates AirAsia India, a JV between Tata Sons and Malaysia's AirAsia.

To be competitive, the Tatas need to look beyond just turning around Air India. “The Tata group now effectively manages four airline brands, each with a distinct profile, culture and cost base. The integration will involve looking at common systems, redundant capacity and costs, all done keeping in mind competition policy. The jury is out on whether the group will integrate all brands or follow a ‘house of brands’ strategy,” says Satyendra Pandey, Managing Partner at aviation advisory AT-TV. If the fleets of the four carriers—Air India, Air India Express, Vistara and AirAsia India—are consolidated, it comes to 233 Boeing and Airbus aircraft in varying configurations. This is the second-largest fleet of civil aircraft in the country.

“Integration of the four airlines will need to be a well thought out strategy. The full-service airlines and the LCCs can individually be merged. A lot of synergies can be tapped by merging Vistara with Air India, and AirAsia

₹130

CRORE
INDIGO'S PROFIT IN
OCT-DEC 2021

₹17.3K

CRORE
THE AIRLINE'S
CASH BALANCE IN
DECEMBER 2021